Research Project Proposal

Group:

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Research Question and Variables:
Is a U.S. publicly traded firm's R&D intensity related to its stock return in the following year? We will examine annual data for U.S. public firms from 1990 - 2024.

Variables:

- R&D intensity: R&D expense divided by net sales in year *t*
- Next-year stock return: the firm's 12-month total stock return in year *t+1*

Dataset:
Compustat Fundamentals Annual (R&D expense and sales) and the CRSP Monthly Stock File (returns), both accessed through WRDS and linked using the CRSP/Compustat Merged database.